NATIONAL SAVINGS CERTIFICATE

National Saving Scheme was introduced to encourage small and mid-income investors with a low-risk appetite to invest while saving taxes. This is again managed by the Indian Postal Department and operates on lines similar to fixed income security. This also has a provision of tax savings. Let us understand the important features of the same:

INTEREST	As of May 2020, NSC offers an interest return of 7.9% p.a. compounded annually, which is all paid at maturity.
TENURE	NSC matures in 5 years and then the money can either be withdrawn or can be re-invested into NSCs along with the entire principal and interest.
TAX TREATMENT	The returns are taxed under ordinary income. However, while making the investment, the amount invested can be claimed for a deduction under Section 80C of the old regime of tax law. The limit here is Rs. 1.5 lacs across categories that we can invest in.
SUITABILITY	NSC is suitable for people who do not have access to the proper banking system and live in distant places where access to financial instruments is difficult. NSC is also suitable for low risk-taking ability individuals and those who are looking for investments under section 80C.
PURPOSE	It is mainly to promote savings in small and mid-income individuals and those who do not have complete access to the banking system. NSC incentivizes savings by allowing tax deductions when the money is being invested.
PREMATURE WITHDRAWAL	Premature Withdrawal of NSC is restricted. It can only be withdrawn if the policyholder passes away, or by court order, or a Government Officer forfeits the account. In case of time less than 1 year, no interest is paid and in case of withdrawal after 1 year, the entire amount and interest are paid.
HOW TO BUY	We can visit select banks that can help us buy the same.